

Lecture on Forms of Business Organizations

Introduction

The selection criteria of a proper form of organisation is crucial for the success of a business enterprise. Every entrepreneur has to decide, at the outset, about the type of organisation, which he/she plans to select for his/her private enterprise. It is important entrepreneurial decision. This choice is by and large influenced by the socio-cultural norms and then prevailing industrial environment.

Ownership Organisation

The first and foremost question in organising a small-scale industry is that of ownership, represented by the right of an individual or a group of individuals to acquire legal title to assets for the purpose of controlling an industrial operation and enjoying the gains or profits flowing from such activities. Small industrial units are, by and large, started by persons who value independence and are desirous of obtaining the highest rewards for their initiative, innovation, technical skills, business acumen and experience. The chief forms of an ownership organisation are:

i. Sole proprietorship ii. Partnership; iii. Co-operative society; and iv. Joint-stock company.

Each entrepreneur has to make policy decisions in all vital areas of business activities and organise and manage his business affairs on scientific lines. He has to make a decision' either as a manufacturer of some product or as the distributor of the products made by others. Whatever activity he chooses, he will be confronted with problems and his ultimate success will depend upon his entrepreneurial ability to solve these problems. He will have to make a Policy decision about the size of organisation. Should he start his enterprise as a sole proprietary concern, partnership or any other form of organisation suited to the needs of his business? Should it be a small-scale industry or a large-scale industry? He should also decide whether to, register with the appropriate authorities or not.

Ownership Organisation Decision

The entrepreneur's choice of the type of organisation will depend upon the nature of business, scale of operation, capital requirements, ownership rights such as control and decision making opportunities and impact of taxation. He should understand the impact of these factors on his business and decide whether to operate his business as a one-man show or a joint venture company - In general, an entrepreneur wishing to start an industry- on his own will prefer to organize it on a small scale unit if he has a limited capital and skill, and cater for the local market. If he is unable to do so, he will call-for responses from partners, join his in this business. In this way, new ability and more capital will be brought into the businesses. Partnerships are common in commercial businesses.

Partnership is not a legal entity; the partners are personally responsible for all the activities performed by them in the name of the firm. The risks associated with the unlimited liability can be avoided and large amount of capital can be brought by forming a limited company. If the capital requirements are not very large, a private limited company may be formed to meet the needs of a large capital to run a large business, a public company will have to be formed.

The sole-proprietorship is the most popular form of small business ownership. According to the survey, most of the total units were of private proprietorship type, followed by joint family and partnership, last is the cooperative and private limited units.

Even in the case of joint family and partnership, many a times a single entrepreneur controls the enterprises. The type of organisation suited for these units depend upon several factors such as the nature and type of industry, the extent of capital, the nature of skill required, and the capacity to offer livelihood to the participating factors. Sole proprietorship is, however, the dominant form in these enterprises.

Sole Proprietorship

Sole proprietorship is a form of business organisation in which an individual invests his/her own capital, uses his/her own skill and intelligence in the management of its- affairs and is solely responsible for the results of its operation. This form of organisation is also known as individual entrepreneurship - the oldest and the most sought after form of enterprise in the field of small-scale industry, and the easiest and simplest form of entrepreneurship from the operational point of view. The individual entrepreneur embarks upon some industrial activity with his own savings or with funds borrowed from his friends or relatives. The industry may be started either in a portion of the entrepreneur's own house or in rented premises. There are no legal formalities to be gone through except those required for a particular type of industry. In this form of ownership, the liability is unlimited. The small industrialist and the industry are highly interrelated and integrated. If the industry prospers, the entrepreneur is the sole beneficiary, and vice versa. Moreover, he enjoys full control over the affairs of the industry and the sole authority to decide, plan and control the operations of his business: In short, the entrepreneur is his own master. The important features of a sole proprietorship are:

a. Sole ownership; b. One-man control; c. Unlimited risk; d. Undivided risk; e. No Separate entity of the firm; f. Little Government regulations.

In the Tanzanian setting, the simplest form of business organization is the sole proprietorship. Under the sole proprietorship, a man or woman undertakes to establish a business and run the business as the sole proprietor. The sole proprietor is responsible for the strategic direction of the business. He reaps all the profits and also bears all the losses if the company fails to make a profit.

Merits

The sole proprietorship for organization has the following advantages:

- i. **Easy and simple formation:** The greatest advantage of this form of organization are necessary for its formation. One can open it easily and in a simple manner and at the same time, one can close it down whenever he may choose to do so. There are no legal formalities for expansion, contraction or dissolution of the business. Thus, it is the most flexible type of business enterprise.
- ii. **Smooth management:** Another merit of this form of organization is that the management of the concern can be carried on smoothly. There is no one to oppose and hence there is no room for any friction.
- iii. **Promptness in decision-making:** The sole proprietor is free to conduct the affairs of his business and he has to consult no one for it. For this reason, he is able to make quick decisions without any delay and hesitation. Such promptness in decision making is essential, in general, for the smooth conduct of business operations.
- iv. **Direct motivation and incentive to work:** The sole proprietorship he to assume all the risks and is entitled to receive all the profits; therefore, he takes pains to work hard as there is direct relationship between the efforts and the rewards.
- v. **Personal touch with customers:** A sole trader is always able to maintain close and personal touch with his customers with this, he is able to the tastes and needs of the consumers. Such personal touch adds to the success of the business.
- vi. **Secrecy:** An individual entrepreneur is able to maintain complete secrecy about important matters relating to his business and thus may be able to safeguard business secrets from his competitors.
- vii. **Social advantages:** This refers to the provision of employment opportunities to many by ensuring diffusion of business ownership and thus concentration of wealth and power in the hands of a few is avoided. Further, it helps in the development of several essential qualities in entrepreneurs, such as the initiative, hard work, responsibilities, trust and self-reliance etc. The single proprietorship offers the best promise of securing motivation and "widespread ownership" and control of industry.

Limitations

The sole proprietorship has several limitations which are as follows:

- i. **Limited financial resources:** The greatest limitation in this case is that the capital available for the business remains very limited. An individual cannot possess enormous savings and he can borrow only limited funds from his friends and relatives. He may not have enough credit to borrow huge sums from the banks or financial institutions. This limits the size as well as financial profits of the business.
- ii. **Limited managerial ability:** An individual cannot be expected to possess knowledge of every branch of management. Now, when the management is highly specialized and business is becoming more and more complex, nobody can claim to be an expert on all the subjects. An individual may have limited knowledge and ability to take correct decisions. He may take a wrong decision, which ultimately may prove to be drastic for the business. Few persons are qualified by training or experience to handle alone the varied problems of purchasing, merchandising, advertising, customer relations and financing.
- iii. **Unlimited liability:** Another great limitation is that the liability of the sole trader is unlimited. It implies that there is always a risk that he may lose the capital invested in his business as well as his personal property. In the event of some disaster, his creditors can satisfy their claims out of his personal property also. Thus, the entire risk has to be borne by one person alone. But, in a way unlimited liability may be of help too. The sole trader may get more credit from the creditors, as the limit of credit may extend to the value of property owned by him, and it will not be limited to the extent of capital invested by him in business only.
- iv. **Lack of continuity:** There is always lack of continuity or stability, in such business. The mortality rate of such business has also been high. If the owner all ill or he is away, the business stops. In case of any mishap, the business may disappear completely or may have to be rebuilt.

In spite of the above limitations, this form of business organisation occupies a prominent place in the business world. This form is best for small ventures and may be more than a match for larger enterprises'. It is more suitable for concerns, where (i) capital required is small, (ii) risk involved is not heavy, (iii) goods of artistic nature are to be produced, (iv) personal touch with customers is necessary, (v) an individual is able to control the affairs, (vi) prompt decision is needed, (vii) scale of production is relatively small, and (viii) operation is simple in character not needing highly skilled management.

The most important factor in the formation of proprietary concerns is noninterference, from others. Further, an entrepreneur is not bound by law to publish annual accounts or to keep accounts except to the extent it may be necessary to do so for income-tax and other related purposes. He need not disclose any confidential information. Besides, this form of organisation is simple, and no legal formalities are required for its formation.

Partnership Organisation

Another form of small business organization is the partnership.

Partnership is defined as the relation which subsists between persons carrying on a business in common with a view of profit. Apparently two or more persons can combine to form a partnership. Another important thing to note is that no formality is required to bring a partnership into existence. Thus creation of partnership can be either orally, by conduct or in writing.

Basic Features

The partnership organisation has some basic or fundamental features, which have been discussed below,

- i. **Number of persons:** There should be at least two persons to form a partnership organisation.

- ii. **Contractual relationship:** Partnership is the result of contractual relationship between two or more persons. There must be an agreement between persons who wish to form a partnership. It is a fundamental feature of the partnership organisation.
- iii. **No legal distinction:** between firm and its partners: It has been mentioned, earlier, that persons entering into a partnership are individually known as partners and collectively as a firm. Since a partnership is merely an association of persons, no separate legal entity or fictitious partners are created. This implies that the law does not make any distinction between the firm and the partners who compose it. Any partner can bind the firm with his decisions on behalf of the firm. But, at the same time, a partner is free to undertake personal business or enter into personal contracts.
- iv. **Unlimited liability:** Just like the sole proprietorship, the liability of the owners of the firm is unlimited. But the difference between the two is that in the case of the former, all risk is to be shouldered by one person alone but in the case of a partnership, this is borne by two or more persons. This means that a partner is not only liable to the extent of capital he has invested in the firm but he may be called upon to meet the liability out of his personal property also.

Advantages of Partnership Organization

A partnership organisation has certain advantages as compared to the sole proprietorship or joint – stock company organisation. We discuss below these advantages:

- i. **Easy formation:** A partnership can be easily formed as no legal formalities are to be observed to establish it. At the same time, unlike a company, not much of to be observed to establish it. At the same time, unlike a company, not much of expenses are incurred for its formation.
- ii. **Flexibility:** A partnership organisation is highly flexible as well as mobile. Changes can be introduced without making it difficult. The necessary additional capital can be raised, new partners be introduced including changes in the, place and object of the firm. Business of the firm can also be expanded or contracted according to the needs.
- iii. **Pooling of resources and skill.** Unlike the sole proprietorship, under a partnership, several persons pool their capital, resources, skill, expertise, experience and services etc. Two or more persons are always better than one and in that sense partners strive to work with zeal for the better. It enables combination of such individuals who may not be in a position to do anything alone.
- iv. **Division of risks:** Under a partnership, the risks of business are divided among the partners and are not shouldered by one person alone. Thus, it is more useful for business with - large investments.
- v. **Strong credit position.** Unlimited liability of the partners enhances the creditworthiness of the firm. The credit can be extended to it to the limit of the value of property owned by the partners, and not confined to the extent of capital contributed by the, partners. Further, it restricts on the speculative and reckless activities of the partner with, which they always remain vigilant.
- vi. **Less incidence of tax.** As compared to joint-stock company, the burden of taxes on a firm or its partners individually is lower.
- vii. **Encouragement of mutual trust, personal element in business:** Partners act in cooperation and thus mutual faith, trust and goodwill are maintained. They maintain, personal relations with each other and take personal care, to promote the business of the firm.

Disadvantages

While-the partnership organisation has the above advantages: it has the following serious limitations which cannot be ignored:

- i. **Limited resources.** In spite of pooling its of resources by in partners, it is not possible to raise- huge amount of capital and engage specialists required for modern business or Industrial units. Partners may be rich but their capacity to contribute capital is limited as compared to the needs of modern industrial complexes.

- ii. Unlimited liability: One of the serious limitations of a partnership organisation is that the liability of partners is not limited. The partners like the sole trader unlike the shareholders of a company, may be personally held liable for the debts incurred by the firm.
- iii. Instability: Theoretically, it may appear that the partnership organisation is more stable than the sole proprietorship but in practice it is not so. It is often found that a firm's business comes to an end on account of petty quarrels among the partners. If a partner is dishonest and short-tempered, it may become difficult for other partners to carry on business with him.'
- iv. Lack of harmony of interest. Unlike a sole proprietorship, it is not possible to maintain harmony of interests among the partners. There is always the possibility of friction. The partners may follow a conservative policy to avoid risk of their private property.

The Co-operatives

A cooperative society is essentially an association of persons who join together on a voluntary basis for the furtherance of – their common economic interests. The International Labour Organisation - (ILO) defines a cooperative as "an association of persons, usually of limited means, who voluntarily join together to achieve a common economic end through the formation of a idiomatically 'controlled business organisation, making an equitable contribution to the capital required and accepting fair share of the risks and benefits of the-undertaking. This type of organisation has not made any appreciable impact on the small scale industrial sector.

The Memorandum of Association

The memorandum of Association is the company's charter and it defines the limits to the company's powers. The memorandum of Association must contain the following information.

- a. The name of the company
- b. The objects clause – defining the powers of the company.
- c. The limited liability clause
- d. Capital clause – the amount of its Authorized capital.
- e. Registered office

The Articles of Association

The Articles of Association are the regulations governing the internal management of a company. Items to be found in the articles of association are such matters as transfer of shares, meetings, voting rights etc.

In the Incorporation of a company, all the necessary documents including list of directors are lodged with the BRELA. If the application is successful then a Certificate of Incorporation is issued.

At this point in time, we must point out that in the business context, there are two main types of companies – private and public companies.

Forms of Organisation

The selection or the form of organisation depends basically on the nature of industrial activity proposed to be undertaken, the scale of operations in terms of the volume of business proposed to be handled, the scope of the market to be covered, the sharing of risks and tax advantages.

Three salient features of all forms of organisation are:

- i. Relationship – Line, Functional, Staff.
- ii. Authority – Direct, Indirect, Representative.
- iii. Responsibility – General, Specialized, Advisory.

In other words, the organisational structure is based on:

- i. Division of labour;
- ii. Co-ordination;
- iii. Accomplishment of goals and objectives; and
- iv. Authority – responsibility.

The process of organisation consists in making a rational division of work into groups of activities for the accomplishment of a task. The various stages of this process are:

- a. Determination of objectives;

- b. Enumeration of activities;
- c. Classification
- d. Fitting individuals {workers} into functional, activities; and
- e. Assignment of authority for action.

Line Organisation

A line organisation is the basic framework of an organisation. It is the backbone of the organisational hierarchy. Line organisation is characterised by direct lines of authority flowing -from, the top to the bottom of the organisational hierarchy and lines of responsibility flowing in an opposite but equally direct manner. Under this type, various activities are organised in groups and controlled by a manager, who is responsible to the top man. In this type of organisation, authority flows from the top to the bottom while responsibility flows from the bottom to the top.

Advantages

- i. It is simple to form and easy to operate.
- ii. In it, line executives enjoy decision-making powers.
- iii. It has a systematic organisational structure.
- iv. It maintains a balance between authority, responsibility and accountability.
- v. Discipline can be maintained easily.
- vi. Communication is easy and quick.

Disadvantages

- i. It becomes autocratic or dictatorial.
- ii. It suffers from lack of specialization.
- iii. There is an overload of responsibility.
- iv. It hampers initiative.
- v. There is absence of co-ordination, among the different departments.
- vi. It is unstable.

Functional Organisation

The simplest type of departmentation is the functional type of structure, which consists of grouping of all similar activities into major departments. It was organised by F. W. Taylor with -a -view to bringing about the specialization of management activities.

Under functional foremanship, office work is separated from shop or plant work.

Functional Structure

Note. In a pure functional organisation, we have multiple and divided responsibility. Although there is a need for functionalisation, it is probably never used in its pure form. A practical approach to functionalisation is reflected in the line -and - staff organisation, which is necessary for a large enterprise.

Advantages

- i. It promotes a better division of labour.
- ii. It ensures proper communication.
- iii. It offers a good scope for specialization.
- iv. It promotes coordinated work.
- v. It ensures systematic organisation.

Disadvantages

- i. The unity of command is absent.
- ii. There is a tendency towards over - specialization.
- iii. In this type of organisation, it is difficult to pinpoint responsibility.
- iv. It is costly.
- v. There is no continuity of authority.
- vi. Lower potency for developing managers for promotion.

Deciding Factors on Organisation while Starting a Business

It is worthwhile for the entrepreneur of a new or proposed business to be familiar with the following factors in making a choice, for a suitable form of ownership:

1. Type of business - service, trade, manufacturing
2. Selection of industry and the area of operation.
3. Scope of operations, volume of business and the size of the market served, including its expected growth potential.

4. Degree of direct control and management desired by the owners.
5. Amount of capital funds required – initial capital, working capital
6. Size of the risk.
7. Continuity of the enterprise.
8. Costs and procedures and relative freedom from government regulation.
9. Possibility of raising resources from the market – institutions, subsidies and other incentives.
10. Adaptability of administration.
11. Comparative tax advantage, etc.

An entrepreneur has to weigh these major factors, as well as others in deciding the form of organisation while starting a business. Many a times, an enterprise, like a rivet, may be started as a proprietary concern, converted into a partnership when likeminded people come together, promoted into a joint-stock company when it grows substantially big. This organizational evolution is an ongoing process through interaction with the social, political and economic environment.